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CASE STUDY: DUPONT FINANCIAL ANALYSIS OF [HERFY].

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Table of contents

- Introduction P 02
- Company overview P 03
- Financial ratio analysis P 04 - 05
- Conclusion P 06
- Excel file P 07
- Bonus P 08
- Annual reports P 09
- References P 10

Introduction

Introduction

Financial analysis plays a fundamental role in understanding the internal and external factors that influence a company's performance. In a world of increasing competition and rapidly changing market dynamics, companies must be able to evaluate their financial health accurately and regularly. This type of analysis helps decision-makers at all levels—managers, investors, and stakeholders—make more informed choices regarding investment, resource allocation, and strategic direction.

This report presents a financial analysis of Herfy Food Services Company, one of the leading fast-food chains in Saudi Arabia. Herfy has long been recognized for its strong presence in the local market and has also expanded internationally, reflecting its ambitions for growth. However, as with any business operating in a dynamic industry, Herfy has faced both opportunities and challenges in recent years. Understanding the company's financial performance provides critical insights into how well it is navigating these conditions.

The analysis focuses on data from the past two years and uses key financial ratios, including Return on Assets (ROA), Return on Equity (ROE), and components of the DuPont model, to assess Herfy's profitability, efficiency, and leverage. The purpose is to evaluate the trends in financial performance and understand the underlying causes of any significant changes.

Moreover, this study is prepared as part of the coursework for FIN220 at King Abdulaziz University, under the supervision of Dr. Ibtihal Muhammad. It aims to bridge the gap between theoretical knowledge and practical application by analyzing a real-world company using academic tools and concepts.

By the end of this report, the reader will gain a clearer view of Herfy's current financial situation, as well as the broader context affecting its performance, and the strategic considerations it may need to address moving forward.

Company Overview

Herfy Food Services Company, founded in 1981 by Ahmed Al-Saeed and Sheikh Hamood Al-Ibrahim, is currently one of the Saudi Arabia's top fast-food chains. The business is distributed across more than 385 restaurants in the Kingdom and has also expanded worldwide to nations such as Kuwait and Bangladesh, with an aim to expand in other areas as well.

In 1982, Herfy opened its own bakery to have greater control over product quality, the beginning of its vertical integration plan. Through this plan, the company has direct control over its supply chain and can have consistency and freshness in its products.

Herfy has developed to be a prominent brand in the Saudi food industry, known for its quality and service. Its growth has been fueled by expansions and strategic partnerships. Kingdom Holding Company acquired Panda United in 1994, which also involved a stake in Herfy. Then in 1998, Savola Group acquired Azizia Panda, and Herfy was now a part of the conglomerate.

Herfy's international aspirations are proven through its expansion abroad. The company is looking at opportunities overseas and has established branches in Bangladesh and Kuwait. It is reportedly negotiating with three East Asian countries for franchise rights, demonstrating a concerted bid to tap new markets. Herfy has not been without its setbacks despite its growth. The firm recorded a net loss of 33.3 million Saudi Riyals (about 8.87 million USD) for the third quarter in the recent fiscal year, as opposed to a profit of 11 million Riyals in the same quarter the previous year.
This downfall is representative of the competitive and dynamic nature of the fast food industry, which makes it increasingly necessary to innovate and evolve repeatedly.

Herfy's business model shows how devoted it is to excellence. From production to retailing, company vertical integration provides cost savings and high standards of quality. With the marketplace having full coverage by international brands, it has been instrumental in its position in the competition.
Herfy is likely to further grow domestically as well as overseas in the years to come. The company is ready for long-term expansion with its emphasis on quality, strategic alliances, and diversification of markets. Herfy's innovation and responsiveness will be essential to its market leadership in the fast food business as consumers' preferences change.

Financial Ratio Analysis

Ratios	Formula	2023	2024	Change
Return on assets	profit margin * Asset turnover	0.44%	-6.78%	-7.22%
Return on Equity	net profit margin *Asset turnover *Equity Multiplier	0.8%	-12.6%	-13.41%

Return on assets (ROA):

- **What does it measure?** ROA is a measure that gauges how efficiently a business can generate net revenue from its whole asset base. Also, it shows how well the business is utilizing its resources to bring in profit.
- **Calculation:** profit margin * Asset turnover
- **Analysis:** Herfy's ROA dropped significantly from 0.44% in 2023 to -6.78% in 2024, showing a steep decline in how efficiently the firm is using its assets to generate profit. Both executives and shareholders may be concerned about the downward trend, which could represent operational inefficiencies or diminishing profitability.

Financial Ratio Analysis

Return on Equity (ROE):

- **What does it measure?**

ROE tells us how much profit a company makes using the money from its owners (shareholders).
.If ROE is high, the company is doing a good job
.If ROE is low, the company is not using the money well

- **Calculation:**

ROE= net profit margin * Asset turnover * Equity Multiplier.

- **Analysis:**

There was a big drop in ROE. In 2023, it was 0.81%, but in 2024, it became -12.6%.

The main reason is that the company had a big loss in 2024. The net profit margin became negative. This means the company lost money.

There was a small improvement in how the company used its assets , and a small change in how much money came from loans . But these small changes could not help the company because the loss was too big.

In short, the company lost a lot of money in 2024. That is why the ROE became negative, even though other things stayed mostly the same.

Conclusion

Based on the financial report we just conducted, we can see that Herfy Food Services Co. had a challenging financial year and suffered a decline in profit in 2024; this financial analysis focuses on key financial ratios like ROA, or return on assets, which dropped significantly in 2024, meaning that the company could improve the way it uses its assets and resources. ROE, or return on assets, was negative indicating that not only did it not produce a profit for its investors but rather experienced losses in relation to equity. Despite this downturn, Herfy is still a well-known brand and a major player in the Saudi food and beverage industry. The business can attempt to reverse this decline and regain sustainable profitability with the right strategic changes.

I recommend that Herfy evaluate the utilization of its resources, including inventory, equipment, and restaurant locations, to see what assets are unused or underperforming. To lessen the financial burden, they should repurpose or sell the non-performing assets or invest in technology, streamline operations, and improve underperforming branches to increase asset efficiency.

Excel File



https://docs.google.com/spreadsheets/d/1BsUuLDY8OxqdcKs98q1W5ymvNE92cfM5/edit?usp=drivesdk&ouid=105389841491072146298&rtpof=true&sd=true

Bonus

1- Integration of the “RISE with SAP” system for digital transformation:
In February 2025, Harvey announced the signing of an agreement with SAP to implement the enhanced version of the “RISE with SAP” platform. This process is part of the company ongoing efforts to promote digital transformation and efficiency in its operation.

2- Have profits by Q1 of 2024:
Harvey declared that its Q1 2024 net profit stood at SAR 448.24 thousand, versus a net loss of SAR 12.8 million in the same period of the previous year. This positive shift is expressed in increased revenues, lower general and administrative expenses and zakat expenditures.

3- Incurring losses in the third quarter of 2024:
Herfy recorded a net loss of SAR 33.36 million in the third quarter of 2024, compared to a net profit of SAR 11.04 million in the same period of 2023. This decline is attributed to an 11% decrease in revenues, which amounted to SAR 278.7 million.

Annual Report

Press here to see the Annual report of 2024

Press here to see the Annual report of 2023

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